

D-Wave Quantum Inc.

One System Sale Is Not a Franchise: Recurring Revenue Fell While the Stock Rose 1,500%; Initiating at Underweight, Dec-26 PT \$13.70

QBTS, NYSE | QUANTUM COMPUTING

UNDERWEIGHT

Price (6 Jun 2025): **\$18.62**

Price Target (Dec-26): **\$13.70**

INVESTMENT THESIS

We initiate on D-Wave Quantum at Underweight with a December 2026 price target of \$13.70, some 26% below the \$18.62 close of 6 June. The debate is whether the record \$15.0m of Q1 revenue reported on 8 May was the first quarter of a commercial ramp or a single transaction. On the disclosure available today it is a single transaction. Of that \$15.0m, \$12.6m was the first ever sale of an Advantage system, to the Julich Supercomputing Centre, and one customer accounted for 85% of revenue. Strip the system out and Q1 revenue was \$2.35m against \$2.47m a year earlier, a decline of 4.5%. The Leap subscription line that is supposed to be the recurring core fell 9% to \$1.53m. Bookings fell 64% to \$1.6m and remaining performance obligations at 31 March were \$6.4m.

None of this means the technology is fake. Advantage2 reached general availability on 20 May with more than 4,400 qubits, and the March result in Science is a genuine peer-reviewed publication. But it was contested by two preprints within days and the scientific argument is unresolved, and in any case a physics benchmark is not a customer budget. What is not contested is the price. An enterprise value of \$5.17bn is 585x FY2024 revenue and roughly 203x the FY2025 estimate, about twice what IonQ commands on the same year. Every sell-side target we can date on or before 6 June sits between \$11 and \$14. We are not calling the physics. We are calling the arithmetic, and we say plainly that it is very wide.

- Strip the one Julich system and Q1 revenue fell 4.5% year on year to \$2.35m, with the Leap subscription line down 9% at \$1.53m.
- Bookings fell 64% to \$1.6m and performance obligations were \$6.4m at 31 March. The order book does not support the revenue the multiple assumes.
- At 585x FY2024A and 203x FY2025E revenue the shares are near twice IonQ's multiple; the highest datable Street target is Benchmark's \$14.

COMPANY OVERVIEW

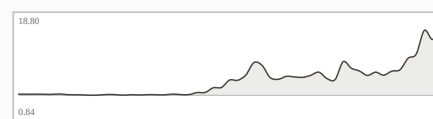
D-Wave is the only listed pure play in quantum annealing, a special-purpose approach to optimisation and materials simulation rather than a universal gate-model computer. Founded in Burnaby, British Columbia in 1999, it listed on the NYSE in August 2022 through a merger with the DPCM Capital SPAC and is led by CEO Dr. Alan Baratz, with John Markovich as CFO.

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PRICE PERFORMANCE



Weekly closing prices, 7 Jun 2024 to 6 Jun 2025 (\$). Last close \$18.62; 52-week intraday range \$0.75 to \$19.77.

COMPANY DATA

Shares O/S (mm)	292.2
Market Cap (\$bn)	5.44
Net Cash (\$mm)	273.6
Enterprise Value (\$bn)	5.17
52-Week Range	\$0.75 - \$19.77
52-Week Price Change	+1,505%
YTD Price Change	+121.7%
Avg. Daily Volume (20d, mm)	114.3
Realised Vol. (52wk, ann.)	~156%
Beta (5Y)	-
Short Interest (% of S/O)	-
EV / FY24A Revenue	585x
EV / FY25E Revenue	203x
Price / Book	26.2x
Net Cash per Share	\$0.94
Dividend Yield	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$mm, except EPS)	FY23A	FY24A	FY25E	FY26E
Revenue	8.8	8.8	25.5	50.0
% growth	22%	1%	189%	96%
Bookings	10.5	23.9	-	-
GAAP gross margin	52.8%	63.0%	-	-
Adj. EBITDA	(54.3)	(56.0)	-	-
GAAP net loss	(82.7)	(143.9)	-	-
GAAP EPS	\$(0.60)	\$(0.75)	\$(0.32)	-
EV / revenue	-	585x	203x	103x

FY23A and FY24A per the company's FY2023 and FY2024 results releases (28 Mar 2024, 13 Mar 2025) and SEC filings; FY2023 revenue \$8.758m, FY2024 \$8.827m per XBRL. FY2023 bookings were reported as \$11.5m in the FY2023 release and as \$10.5m in the FY2024 release comparative; we show the later figure for consistency with the published +128% growth rate. D-Wave gives no revenue or earnings guidance. Further sourcing detail is set out under Important Disclosures.

Revenue comes from three lines: quantum computing as a service through the Leap cloud, professional services under the D-Wave Launch banner, and on-premises system sales, of which the company has now made exactly one. The installed technology is the fifth-generation Advantage and the sixth-generation Advantage2, generally available since 20 May 2025. A gate-model programme runs alongside but contributes no revenue. Trailing four-quarter customers numbered 133 at 31 March (69 commercial, 52 research, 12 government), against 135 at December, with commercial accounts down from 76 to 69.

Q1 2025 RESULTS AND THE REVENUE MIX

Q1 2025, reported on 8 May, produced revenue of \$15.001m against \$2.465m a year earlier, a 509% increase and comfortably ahead of the \$10.60m the Street was carrying. Every number below it improved: GAAP gross profit of \$13.9m at a 92.5% margin, an adjusted EBITDA loss of \$6.1m against \$12.9m, and a GAAP net loss of \$5.4m, or \$0.02 per share, which management correctly described as the lowest quarterly loss since the company went public. Cash reached a record \$304.3m.

The composition is the whole story. The 10-Q disaggregates the quarter as \$12.647m of system sales, \$1.533m of quantum computing as a service, \$0.777m of professional services and \$0.044m of other revenue. The system line is the first ever sale of a D-Wave machine, an Advantage delivered to the Julich Supercomputing Centre in Germany, and it is why one customer represented 85% of revenue and Germany 85% of geographic revenue. It is also why deferred revenue collapsed from \$19.4m at December to \$6.2m at March: this was a contract booked in an earlier period being recognised, not new demand appearing. Excluding it, revenue was \$2.354m against \$2.465m, a decline of 4.5%. The QCaaS line, the only genuinely recurring revenue D-Wave has, fell 9.4% year on year. Professional services grew 21.6% off a \$0.6m base.

The margin is equally a function of mix. A 92.5% gross margin on a quarter that is five sixths hardware tells you the system was substantially built and expensed in prior periods; it is not a rate that survives a normal quarter, and the FY2024 comparison of 63.0% is the better guide. Below the gross line, GAAP operating expenses rose 31% to \$25.2m on headcount, marketing and stock compensation, producing a loss from operations of \$11.3m. The \$5.4m net loss appears only after a \$3.9m non-cash gain on warrant remeasurement and \$2.2m of other income. The operating loss roughly doubled the reported one, and investors reading the headline should know which number is the business.

Forward indicators went the other way. Bookings fell 64% to \$1.6m from \$4.5m, with more than half of that being professional services rather than technology; on a trailing four-quarter basis bookings are roughly \$21.0m against the \$23.9m the company reported for FY2024. Remaining performance obligations were \$6.4m at 31 March, about 80% of which is expected to convert within twelve months. Commercial customers fell from 76 at December to 69, and Forbes Global 2000 accounts from 28 to 25. D-Wave gives no revenue guidance, and on the call management declined to name either a break-even revenue level or a date for it. Dr. Alan Baratz, CEO, opened by calling the quarter "arguably the most significant in D-Wave's history." On the evidence of the system sale and the Science paper that is fair. On the evidence of the recurring revenue line, the bookings and the customer count, it is not.

ADVANTAGE2, SUPREMACY AND THE SCIENTIFIC DEBATE

Two events explain most of the share price. On 12 March 2025 D-Wave published a peer-reviewed paper in Science claiming beyond-classical performance on the simulation of quantum magnetic materials, work management characterises as minutes on an Advantage2 prototype against a period approaching a million years on Oak Ridge's Frontier supercomputer. It is the first such claim made on a problem with a plausible scientific application rather than a synthetic sampling task, and it should not be dismissed.

It was, however, contested almost immediately. A Flatiron Institute team led by Joseph Tindall posted a belief-propagation tensor-network method (arXiv 2503.05693) arguing that classical hardware could match or beat the annealer on part of the problem set, and Linda Mauron and Giuseppe Carleo at EPFL followed with time-dependent variational Monte Carlo results (arXiv 2503.08247) reaching correlation errors below 7% on 128-spin systems. Neither preprint was peer reviewed. Baratz responded within days that the critics had addressed "a small subset" of the work and that D-Wave had demonstrated deeper and larger simulations across a greater variety of lattices. We think both sides are partly right, and that the honest reading is that the frontier moved and has not settled. What matters commercially is narrower: no customer has yet been shown to pay for the class of problem in the paper.

On 20 May D-Wave brought Advantage2 to general availability: more than 4,400 qubits on the Zephyr topology with 20-way connectivity, roughly double the coherence, a 40% higher energy scale, a 75% reduction in noise and unchanged 12.5kW power draw. It is available through Leap and, importantly for the revenue model, for purchase by supercomputing centres and hyperscalers. The shares rose about 26% that day. This is real product progress on schedule, and the on-premises route is the one that produced the only large revenue event in the company's history. The problem is the pipeline behind it. On the Q1 call Baratz described "an enormous amount of interest in systems from governments and supercomputing centers around the world, but frankly less so in the United States," and said of US government adoption that the country "is falling way behind on this." That is a candid answer, and it tells you the near-term systems pipeline is sovereign, episodic and slow.

FINANCIAL SUMMARY

D-Wave Quantum Inc. -- Summary Financials

\$ in millions, except per-share data	FY23A	FY24A	Q1-25A	FY25E	FY26E
Total revenue	8.8	8.8	15.0	25.5	50.0
% growth YoY	22%	1%	509%	189%	96%
of which system sales	-	nil	12.6	-	-
of which QCaaS (Leap)	-	-	1.5	-	-
of which professional services	-	-	0.8	-	-
Q1-25A revenue excluding the Julich system sale was \$2.4m, versus \$2.5m in Q1-24A					
Bookings	10.5	23.9	1.6	-	-
GAAP gross profit	4.6	5.6	13.9	-	-
GAAP gross margin	52.8%	63.0%	92.5%	-	-
GAAP operating expenses	85.2	82.8	25.2	-	-
Loss from operations	(80.6)	(77.2)	(11.3)	-	-
Adjusted EBITDA	(54.3)	(56.0)	(6.1)	-	-
GAAP net loss	(82.7)	(143.9)	(5.4)	-	-
GAAP EPS	\$(0.60)	\$(0.75)	\$(0.02)	\$(0.32)	-
Adj. pre-tax loss	-	-	-	(34.0)	(11.6)
Operating cash flow	-	-	(19.3)	-	-
Cash and equivalents	41.3	178.0	304.3	-	-
Shares outstanding (mm)	-	266.6	291.4	-	-
Memo: EV / revenue	-	585x	-	203x	103x

Source: D-Wave FY2023 results release (28 Mar 2024), FY2024 results release (13 Mar 2025), Q1 2025 results release and Form 10-Q for the quarter ended 31 Mar 2025 (SEC EDGAR), Q1 2025 earnings call (8 May 2025); Akul Veauli Securities LLC calculations. Revenue is \$8.758m in FY2023 and \$8.827m in FY2024 per company XBRL; growth of 1% is calculated on those figures. Q1-25A revenue disaggregation is from the 10-Q. Loss from operations for FY23A and FY24A is calculated as GAAP gross profit less GAAP operating expenses. FY2023 bookings are shown as \$10.5m per the FY2024 release comparative; the FY2023 release itself reported \$11.5m, a discrepancy the company has not reconciled publicly and which readers should note. FY25E and FY26E revenue and adjusted pre-tax loss are Roth Capital Partners published estimates dated May 2025, being the only dated post-print broker model we could source; they are not an aggregated consensus. FY25E GAAP EPS of \$(0.32) is a five-broker consensus reported on 7 May 2025, before the Q1 beat, and is stale. "-" indicates the figure is either not disclosed by the company on that basis (FY23A and FY24A revenue disaggregation, FY23A and FY24A operating cash flow, FY23A share count) or is not forecast on any datable basis by a public source. D-Wave issues no guidance. Multiples computed on the \$18.62 close of 6 Jun 2025 and an enterprise value of \$5,167m.

BALANCE SHEET, BURN AND THE SHELF

The balance sheet is the strongest part of the equity story and we will not understate it. Cash was \$304.3m at 31 March against total loans payable of \$30.7m, comprising a \$30.4m non-current SIF loan and a \$0.3m current TPC loan, giving net cash of \$273.6m or \$0.94 per share. Operating cash outflow in the quarter was \$19.3m, roughly \$77m annualised. On that run rate the company has something like three and a half to four years of funding before it needs anything, which for a pre-scale hardware business is a genuine competitive advantage and removes the financing risk that usually dominates this part of the market. Warrant liabilities of \$65.9m sit outside that calculation and are non-cash.

The dilution history is the counterweight. D-Wave completed a \$150m at-the-market programme in January 2025, issuing 24.6m shares at an average of \$6.10 for net proceeds of about \$146m, and shares outstanding moved from 266.6m at December to 291.4m at 31 March and 292.2m at 6 May. Roughly \$37.8m of capacity remained under the Lincoln Park purchase agreement through October 2025. On 3 June 2025 the company registered a \$400m mixed shelf, which is the entire market's read on management's intentions and the only forward capital-markets fact we have. This is a company that issues equity into strength, the shares are within 6% of an all-time high, and we assume the shelf is used. Stockholders' equity of \$207.4m is almost entirely that cash, and the shares trade at 26.2x book.

VALUATION AND PRICE TARGET

There is no honest earnings-based valuation of D-Wave. There is no profit, no EBITDA, no free cash flow and no company guidance, the only forward model we can date belongs to a single broker, and book value is essentially the cash balance. A discounted cash flow here would be a spreadsheet expressing an opinion, so we have not built one. What exists is a revenue multiple, a peer group priced on the same basis, and the sell-side's own published targets. We build the target from those three and we state up front that the distribution around it is extraordinarily wide: our bull case is \$33.00 and our bear case \$7.90, a spread of more than four to one, and a reader who thinks the annealing thesis works should not be surprised by either end.

The three anchors are equally weighted. (1) Dated Street targets: the three published targets we can date after the 8 May print are Benchmark \$14.00 (David Williams, 12 May), Needham \$13.00 (Quinn Bolton, reported 11 May) and Roth Capital \$12.00 (Suji Desilva, May), a mean of \$13.00. B. Riley's \$11.00 dates from 14 February and is stale; the five-broker aggregate reported on 7 May, before the print, was \$9.90. (2) Peer parity today: IonQ, the closest listed comparator, carries an enterprise value of \$8,971m against FY2025 guidance of \$75m to \$95m, or 105.5x the midpoint. Applying that same multiple to D-Wave's FY2025E revenue of \$25.5m gives an enterprise value of \$2,690m, and adding \$273.6m of net cash across 292.2m shares gives \$10.14. (3) Forward roll to Dec-26: applying the same 105.5x to FY2026E revenue of \$50.0m gives \$5,275m of enterprise value; we add forecast net cash of \$558.6m, being \$273.6m today less roughly \$115m of burn over eighteen months plus the full \$400m shelf, and divide by 324.4m shares, allowing 22.2m for the shelf at \$18 and 10m for stock compensation. That gives \$17.98. The simple average of \$13.00, \$10.14 and \$17.98 is \$13.71, rounded to \$13.70.

Against the \$18.62 close that is an implied return of minus 26.4% with no dividend, which maps to Underweight under our thresholds of above +15% for Overweight and below 0% for Underweight. We are uncomfortable with the rating and say so, because the sensitivity is severe: at our own target the shares would still trade on 77.7x FY2026E revenue, a multiple no profitable software company commands. The flip points are precise. Neutral requires the blend to reach \$18.62, which with anchors one and two held constant needs the Dec-26 anchor at \$32.86, which is 202x FY2026E revenue, which is exactly today's forward multiple. In other words, holding this stock to a flat return over eighteen months requires the current multiple to survive intact while revenue doubles. Overweight requires the Dec-26 anchor at \$41.09, which at the peer multiple needs FY2026E revenue of about \$121m rather than \$50m. Both are possible. Neither is a base case, and the steel-manned bull position, that quantum is a call option on a technology transition where multiples are set by narrative rather than by revenue, is a respectable argument that our framework cannot price.

Valuation detail: anchors, scenarios and the peer set

Anchor (equal weighted)	Multiple	Revenue base	EV (\$mm)	Per share
1. Mean of dated Street targets	n/a	n/a	-	\$13.00
2. IonQ multiple on FY25E revenue	105.5x	25.5	2,690	\$10.14
3. IonQ multiple on FY26E revenue	105.5x	50.0	5,275	\$17.98
Dec-26 price target (average)	77.7x FY26E	50.0	3,886	\$13.70

Scenarios flex only the Dec-26 multiple and the revenue base

Bull: no de-rating at all	202.6x	50.0	10,130	\$33.00
Bear: de-rate toward software	40x	50.0	2,000	\$7.90
Deep bear: no FY26 system sale	40x	15.0	600	\$3.60

Peer set at the 6 Jun 2025 close

Company	Price	EV (\$mm)	EV/FY24A rev	EV/FY25E rev
D-Wave Quantum (QBTS)	\$18.62	5,167	585x	203x
IonQ (IONQ)	\$39.02	8,971	208x	106x
Rigetti Computing (RGTI)	\$11.28	3,028	280x	-

Source: company disclosure and SEC filings; broker actions as reported by The Fly, Investing.com and Cantech Letter; Akul Veauli Securities LLC calculations. Scenario rows add forecast Dec-26 net cash of \$558.6m and divide by 324.4m shares. IonQ enterprise value uses 247.8m shares outstanding at 30 Apr 2025 (10-Q cover), the \$39.02 close and \$697.1m of cash and investments at 31 Mar 2025; its FY25E revenue is the \$85m midpoint of company guidance given on 7 May 2025. Rigetti uses 287.0m shares at 31 Mar 2025, the \$11.28 close and \$209.1m of cash and investments; Rigetti issues no revenue guidance and we could find no datable FY2025 estimate, so its forward multiple is shown as "-" rather than estimated. FY2024 revenue is \$8.827m for QBTS, \$43.1m for IONQ and \$10.8m for RGTI. Anchor 1 shows no EV because it is a target-price average, not a modelled valuation. Illustrative only; this is not a modelled discounted cash flow and no such model exists for this company in the public domain.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- A second and third system sale. The Julich transaction proved that a supercomputing centre will buy a D-Wave machine outright at roughly \$12.6m of recognised revenue. Two such sales in FY2026 would take revenue past Roth's \$50m estimate on their own and would change the character of the revenue line from cloud subscription to capital equipment.
- The multiple simply does not compress. Our entire bear case is a de-rating. If quantum continues to be priced as an option on a technology transition rather than on revenue, holding today's 203x forward multiple through Dec-26 on \$50m of FY2026 revenue gives \$33.00, or 77% above the current price. This has been the pattern for eighteen months.
- Advantage2 is a real product improvement shipping on time. More than 4,400 qubits on Zephyr with 20-way connectivity, double the coherence, a 40% higher energy scale and 75% less noise, at unchanged 12.5kW power draw, is the sixth generation delivered when management said it would be. Execution risk on hardware is lower here than anywhere else in the sector.
- Government and sovereign demand inflects. Baratz described strong system interest from governments and supercomputing centres outside the United States. Any national quantum programme that funds hardware procurement, in Europe, Japan, Korea or the United States, converts a stated pipeline into orders quickly because the buyers are few and the ticket is large.
- The supremacy claim survives scrutiny. If the Science result holds against the Flatiron and EPFL preprints in the peer-reviewed literature, D-Wave will be the only company with a published, defended beyond-classical result on a scientifically meaningful problem. That is a marketing asset of real value in a market that buys narrative.
- Financing risk is genuinely absent. \$273.6m of net cash against a \$77m annualised burn is three and a half to four years of runway before the \$400m shelf is touched. The company will not be forced to raise into weakness, which is the usual mechanism by which pre-revenue technology equities collapse.
- Positioning and volatility. Realised volatility of roughly 156% annualised on 114m shares of daily turnover means the stock does not need a fundamental catalyst to move 50%. Sector-wide flows, index inclusion or a single competitor announcement can reprice it faster than any estimate revision.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- The recurring line is shrinking. QCaaS revenue of \$1.533m fell 9.4% year on year, and revenue excluding the system sale fell 4.5%. This is the single most important fact in the note: after three years as a public company the subscription business is smaller than it was, and it is the only part of the model that compounds.
- The order book is thin. Bookings of \$1.6m were down 64% and more than half were professional services; remaining performance obligations were \$6.4m. Trailing four-quarter bookings of roughly \$21m are the entire visible commercial base against a \$5.17bn enterprise value.
- Revenue is a single customer. One account was 85% of Q1 revenue and Germany 85% of geographic revenue. There is no diversification in the revenue that matters, and the FY2026 estimates we are using assume repeat transactions that have no precedent.
- The reported net loss flatters the business. The \$5.4m GAAP loss included a \$3.9m non-cash warrant gain and \$2.2m of other income against an \$11.3m operating loss. Operating expenses rose 31% year on year while the recurring revenue base fell.
- Dilution is registered and, in our view, coming. A \$400m mixed shelf was registered on 3 June, roughly \$37.8m of Lincoln Park capacity ran to October 2025, and the company sold 24.6m shares at \$6.10 as recently as January. Share count is already up 9.6% in five months. At the current price the shelf alone is about 7% of the equity.
- The supremacy claim is contested and may not survive. Flatiron (arXiv 2503.05693) and EPFL (arXiv 2503.08247) both posted classical methods within days of publication. If either is validated, the central scientific differentiator of the last twelve months weakens, and the narrative that has driven the multiple weakens with it.
- Annealing is a niche within a niche. D-Wave's machines are not universal computers and cannot run Shor or Grover. If capital and customer attention consolidate around gate-model roadmaps at IBM, Google, IonQ and Quantinuum, D-Wave's addressable market narrows regardless of how well its hardware performs on its own problem class.
- Valuation offers no cushion whatsoever. 585x FY2024 revenue, 203x FY2025E and 26.2x book, against a peer at half the forward multiple. A de-rating to 40x forward revenue, still an extreme software multiple, implies \$7.90. Our own target of \$13.70 leaves the shares on 77.7x FY2026E revenue and is not a value case.
- The chart is the risk. The shares are up 1,505% in twelve months and 121.7% year to date, with a 52-week range from \$0.75 to \$19.77, a spread of 26 times. A stock that moves like this can lose two thirds of its value without any company-specific news, and position sizing matters more here than the price target does.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. FY25E and FY26E revenue of \$25.5m and \$50.0m are the published estimates of Roth Capital Partners (Suji Desilva, Buy, \$12 target) dated May 2025 after the Q1 print; they are one broker's numbers, not an aggregated consensus, which we could not source on a dated basis. FY25E GAAP EPS of \$(0.32) is the pre-print consensus of five brokers reported on 7 May 2025 and predates the Q1 beat. Bookings, gross margin, adjusted EBITDA and net loss are not forecast on a datable basis by free public sources and are shown as "-". Multiples on the \$18.62 close of 6 Jun 2025 and an enterprise value of \$5,167m.

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Point-in-time basis: all market data, financial results, filings, broker actions and company statements in this report are datable on or before 6 June 2025, the last trading session preceding the 9 June 2025 report date. The \$18.62 price is the 6 June 2025 close and the 52-week intraday range of \$0.75 to \$19.77 covers the 52 weeks to that date. Share count of 292.2m is the sum of 288,674,120 common shares and 3,517,141 exchangeable shares disclosed on the cover of the Form 10-Q for the quarter ended 31 March 2025, stated as of 6 May 2025; market capitalisation, enterprise value and all per-share multiples are computed on that count and are therefore analyst-derived rather than company-confirmed.

Estimate sourcing: D-Wave publishes no revenue, earnings or profitability guidance and did not do so on the Q1 2025 call. FY2025E and FY2026E revenue of \$25.5m and \$50.0m, and the adjusted pre-tax losses of \$(34.0)m and \$(11.6)m, are the published estimates of a single broker (Roth Capital Partners, May 2025) and are labelled as such throughout; they are not an aggregated consensus, which we could not source on a dated basis from any unpaywalled provider. FY2025E GAAP EPS of \$(0.32) is a five-broker aggregate reported on 7 May 2025 and predates the Q1 beat. Beta and short interest are shown as "-": no five-year beta could be dated to 6 June 2025 from an unpaywalled source, and the earliest NYSE short-interest settlement we could obtain is 13 June 2025, which falls after the cut-off and has therefore not been used. Realised volatility of approximately 156% is analyst-derived from 52 weekly closing prices to 6 June 2025 and is not a company or vendor figure.

The price performance chart shows publicly reported weekly closing prices for the 52 weeks to 6 June 2025. It is a weekly series, not a tick-accurate daily price history.

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RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. QBTS's implied return of minus 26.4% from the \$18.62 close of 6 June 2025 to the \$13.70 December 2026 target maps to Underweight. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

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